Codebook for "Does Democracy Reduce Ethnic Inequality?"

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The tables below present all the variables included in the analysis. Table 1 shows the codebook for the main, country-level dataset, whereas Tables 2 and 3 shows the codebook for the supplementary, group-level analyses.

Note that some of the variables are generated based on others, for instance, "transition_lexical_5" is generated based on "lexical_index". The "source" column refers to the original source of the variable, including when new variables have been generated based on preexisting ones (e.g., "lexical_index_5" is based on Lexical Index of Electoral Democracy [LIED] data, which is thus listed as the source).

See do-file for further details on variable construction and the "Readme" for details on merging of datasets.

Table 1: "Country-level dataset"

Variable name	**Variable definition**	**Values and labels**	**Source**
country_name			LIED: Lexical Index of Electoral Democracy 6.0 by Skaaning, Bartusevicius, and Gerring (2015).
year			LIED
country_id	Numeric V-Dem country identifier		V-Dem v. 11.1 (Coppedge et al. 2021)
lexical_index	Lexical Index of Electoral Democracy (LIED). This variable is used to construct the other LIED variables listed below.	0: non-electoral autocracies 1: one-party autocracies 2: multiparty autocracies without elected executive 3: multiparty autocracies 4: exclusive democracies 5: male democracies 6: electoral democracies	LIED
lexical_index_4	Binary democracy variable with threshold at LIED level 4	0: Non-democratic 1: Democratic	LIED
lexical_index_5	Binary democracy variable with threshold at LIED level 5	0: Non-democratic 1: Democratic	LIED

	(main measure)		
lexical_index_6	Binary democracy variable with threshold at LIED level 6	0: Non-democratic 1: Democratic	LIED
v2peapssoc	Access to public services distributed by social group		V-Dem
SEI	Access to public services distributed by social group, rescaled (0-1)		V-Dem
f_SEI	Access to public services distributed by social group, rescaled (0-1) with one year lead		V-Dem
region_SEI	Regional mean level of SEI		V-Dem
e_boix_regime	Democracy (BMR)	0: Non-democratic 1: Democratic	V-Dem from Boix, Miller, and Rosato (2013)
v2x_polyarchy	V-Dem electoral democracy index		V-Dem
e_regionpol_6C	Region (politico-geographic 6-category)	1: Eastern Europe and Central Asia 2: Latin America and the Caribbean 3: The Middle East and North Africa 4: Sub-Saharan Africa 5: Western Europe and North America 6: Asia and Pacific	V-Dem
v2dlconslt	Range of consultation		V-Dem
consult	" v2dlconslt" rescaled (0-1)		V-Dem
v2dlencmps	Particularistic or public goods		V-Dem
public_goods	" v2dlencmps" rescaled (0-1)		V-Dem
v2dlunivl	Means-tested v. universalistic policy		V-Dem
uni_v_means	" v2dlunivl" rescaled (0-1)		V-Dem
v2clsocgrp	Social group equality in respect for civil liberties		V-Dem
civil_lib_groups	"v2clsocgrp" rescaled (0-1)		V-Dem
v2pepwrsoc	Power distributed by social group		V-Dem
power_groups	"v2pepwrsoc" rescaled (0-1)		V-Dem
v2peedueq	Educational equality		V-Dem

basic_edu	“v2peedueq” rescaled (0-1)		V-Dem
v2pehealth	Health equality		V-Dem
basic_health	“v2pehealth” rescaled (0-1)		V-Dem
v2peasjsoc	Access to state jobs by social group		V-Dem
state_jobs_groups	“v2peasjsoc” rescaled (0-1)		V-Dem
v2peasbsoc	Access to state business opportunities by social group		V-Dem
state_business_groups	“ v2peasbsoc” rescaled (0-1)		V-Dem
e_uds_mean	Democracy score posterior (mean)		V-Dem from Pemstein, Meserve, and Melton (2010)
e_fh_status	Freedom House Status	1: Free 2: Partly Free 3: Not Free	V-Dem from Freedom House (2018)
e_polity2	Polity revised combined score		V-Dem from Marshall and Jaggers (2020)
e_chga_demo	Cheibub et al. democracy index		V-Dem from Cheibub, Gandhi, and Vreeland (2010)
e_wb_pop	Population		V-Dem from World Bank (2019)
e_civil_war	Binary civil war variable	0: No civil war 1: Civil war	V-Dem from Haber and Menaldo (2011)
region_civilwar	Regional share of countries with civil war		V-Dem from Haber and Menaldo (2011)
ggini	Educational ethnic Gini		Omoeva, Moussa, and Hatch (2018)
f_ggini	Educational ethnic Gini with one year lead		Omoeva, Moussa, and Hatch (2018)
region_ggini	Regional mean level of ggini		Omoeva, Moussa, and Hatch (2018)
grg	Ethnic Gini (nightlights)		Alesina, Michalopoulos, and Papaioannou (2016)
grg_ip	Ethnic Gini (nightlights) interpolated		Alesina, Michalopoulos, and Papaioannou (2016)
f_grg	Ethnic Gini (nightlights) with one year lead		Alesina, Michalopoulos, and Papaioannou (2016)
region_grg	Regional mean level of grg		Alesina, Michalopoulos, and Papaioannou (2016)
efindex	Historical Fractionalization Index (HIEF)		Drazanova (2020)
Ratioofexports-andimportstogdppwt	Ratio of exports and imports from Penn World Tables		Feenstra, Inklaar, and Timmer (2015)
eco_open	“Ratioofexports-andimportstogdppwt” renamed		Feenstra, Inklaar, and Timmer (2015)

e_migdpgro	GDP growth		V-Dem from Inklaar et al. (2018)
e_total_oil_income_pc	Petroleum production per capita		V-Dem from Haber and Menaldo (2011)
latent_gdppc_mean_log	GDP pc. logged		Fariss et al. (2022)
gini_disp	Income inequality, SWIID		Solt (2019)
exclpop	Ethnic exclusion from Ethnic Power Relations (EPR)		Vogt et al. (2015)
exclpop_2	"exclpop" rescaled (0-1)		Vogt et al. (2015)
discrimpop	Ethnic discrimination from Ethnic Power Relations (EPR)		Vogt et al. (2015)
discrimpop_2	"discrimpop" rescaled (0-1)		Vogt et al. (2015)
map_id	Variable necessary to use "spmap" package in stata		"spmap_30_09_2021.dta"
fiveyears	Dummy variable for longer panels	1: Start of new five year period (e.g. 1995, 2000, 2005) 0: remaining years	
tenyears	Dummy variable for longer panels	1: Start of new ten year period (e.g. 1990, 2000, 2010) 0: remaining years	
pre_demo_ineq_best_grg_ip	Pre-democracy ethnic inequality calculated from the "grg_ip" and "lexical_index_5" variables		
pre_demo_ineq_best_SEI	Pre-democracy ethnic inequality calculated from the "SEI" and "lexical_index_5" variables		
pre_demo_ineq_best_ggini	Pre-democracy ethnic inequality calculated from "ggini" and "lexical_index_5" variables		
neighbour_demo_lied	Instrument: Share of democracies in region		
demo_lied	Variable for calculation of instrument: Binary variable based on "lexical_index_5"	0: Non-democratic 1: Democratic	
demo_lied_initial	Variable for calculation of instrument. Initial democracy status	0: Non-democratic 1: Democratic	
n_non_demo_lied	Variable for calculation of instrument		

n_demo_lied	Variable for calculation of instrument		
sum_demo_lied	Variable for calculation of instrument: Sum of democracies		
dem_predemo_ineq_SEI	Interaction term for IV analysis (SEI)		
neighbour_predemo_ineq_SEI	Instrument for interaction term (SEI)		
dem_predemo_ineq_grg_ip	Interaction term for IV analysis (grg_ip)		
neighbour_predemo_ineq_grg_ip	Instrument for interaction term (grg_ip)		
dem_predemo_ineq_ggini	Interaction term for IV analysis (ggini)		
neighbour_predemo_ineq_ggini	Instrument for interaction term (ggini)		
baseline_1	Binary variable defining sample for first-stage regressions	0: Not sample 1: Sample	
baseline_2	Binary variable defining sample for first-stage regressions	0: Not sample 1: Sample	
baseline_3	Binary variable defining sample for first-stage regressions	0: Not sample 1: Sample	
baseline_4	Binary variable defining sample for first-stage regressions	0: Not sample 1: Sample	
baseline_5	Binary variable defining sample for first-stage regressions	0: Not sample 1: Sample	
baseline_6	Binary variable defining sample for first-stage regressions	0: Not sample 1: Sample	
"_Iyear_1790" – "_Iyear_2020" (series)	Dummy variables for year fixed-effects automatically generated with xtivreg2		
sample_SEI1	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
sample_SEI2	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
sample_SEI3	Binary variable defining sample for first-stage regressions	0: Not sample 1: Sample	

	(examinations of exclusion criterion)		
sample_SEI4	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
sample_SEI5	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
sample_grg1	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
sample_grg2	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
sample_grg3	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
sample_grg4	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
sample_grg5	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
sample_ggini1	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
sample_ggini2	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
sample_ggini3	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
sample_ggini4	Binary variable defining sample for first-stage regressions	0: Not sample 1: Sample	

	(examinations of exclusion criterion)		
sample_ggini5	Binary variable defining sample for first-stage regressions (examinations of exclusion criterion)	0: Not sample 1: Sample	
pre_demobmr_ineq_best_grg_ip	Predemocracy ethnic inequality calculated from “grg_ip” and “e_boix_regime” variables		
pre_demobmr_ineq_best_SEI	Predemocracy ethnic inequality calculated from “SEI” and “e_boix_regime” variables		
pre_demobmr_ineq_best_ggini	Predemocracy ethnic inequality calculated from “ggini” and “e_boix_regime” variables		
pre_demoL6_ineq_best_grg_ip	Predemocracy ethnic inequality calculated from “grg_ip” and “lexical_index_6” variables		
pre_demoL6_ineq_best_SEI	Predemocracy ethnic inequality calculated from “SEI” and “lexical_index_6” variables		
pre_demoL6_ineq_best_ggini	Predemocracy ethnic inequality calculated from “ggini” and “lexical_index_6” variables		
pre_demoL4_ineq_best_grg_ip	Predemocracy ethnic inequality calculated from “grg_ip” and “lexical_index_4” variables		
pre_demoL4_ineq_best_SEI	Predemocracy ethnic inequality calculated from “SEI” and “lexical_index_4” variables		
pre_demoL4_ineq_best_ggini	Predemocracy ethnic inequality calculated from “ggini” and “lexical_index_4” variables		
acemoglu_demo	Acemoglu et al. democracy variable coded based on Polity,		

	Freedom House, Cheibub et al., and Boix et al.		
pre_acemoglu_ineq_best_grg_ip	Predemocracy ethnic inequality calculated from “grg_ip” and “acemoglu_demo” variables		
pre_acemoglu_ineq_best_SEI	Predemocracy ethnic inequality calculated from “SEI” and “acemoglu_demo” variables		
pre_acemoglu_ineq_best_ggini	Predemocracy ethnic inequality calculated from “ggini” and “acemoglu_demo” variables		
time	Time variable for analysis with lagged DV’s with non-yearly data		
plac_lead10	Placebo democratization (10 year lead)		
pre_lead10_ineq_best_SEI	Predemocracy ethnic inequality calculated from “SEI” and “plac_lead10” variables		
pre_lead10_ineq_best_grg_ip	Predemocracy ethnic inequality calculated from “grg_ip” and “plac_lead10” variables		
pre_lead10_ineq_best_ggini	Predemocracy ethnic inequality calculated from “ggini” and “plac_lead10” variables		
random_placebo	Placebo democratization (randomized country-year)		
pre_random_plac_ineq_best_SEI	Predemocracy ethnic inequality calculated from “SEI” and “random_placebo” variables		
pre_random_plac_ineq_best_grg_ip	Predemocracy ethnic inequality calculated from “grg_ip” and “random_placebo” variables		
pre_random_plac_ineq_best_ggini	Predemocracy ethnic inequality calculated from “ggini” and “random_placebo” variables		

democratized	Binary variable whether country has democratized (for "random_placebo_2")	0: Never democratized 1: Democratized	
random_placebo_2	Randomized country-year placebo treatment, sample of democratized countries		
pre_randomplac2_ineq_best_SEI	Predemocracy ethnic inequality calculated from "SEI" and "random_placebo_2" variables		
pre_randomplac2_ineq_best_grg_ip	Predemocracy ethnic inequality calculated from "grg_ip" and "random_placebo_2" variables		
pre_randomplac2_ineq_best_ggini	Predemocracy ethnic inequality calculated from "ggini" and "random_placebo_2" variables		
transition[1]	Event study democratic transition variable		
pre_20_15	Event study: Coefficient for period 20-15 year prior to event		
pre_15_10	Event study: Coefficient for period 15-10 year prior to event		
pre_10_5	Event study: Coefficient for period 10-5 year prior to event		
pre_5_0	Event study: Coefficient for period 0-5 year prior to event		
event	Event study: Coefficient for event year		
post_0_5	Event study: Coefficient for period 0-5 year after event		
post_5_10	Event study: Coefficient for period 5-10 year after event		
post_10_15	Event study: Coefficient for period 10-15 year after event		
post_15_20	Event study: Coefficient for period 15-20 year after event		

[1] The event study variables are reset prior to each event study graph, i.e. Figures 4, 6, A1, A4 (left and right panel), A5 (left and right panel), A6 (left and right panel), A7 (left and right panel), A8 (left and right panel), A9 (left and right panel), A10 (left and right panel), and A11.

post_post	Event study: Variable for following democratic years		
lexical_index_5_1	Copy of “lexical_5” variable to create coefplot for mechanism study	0: Non-democratic 1: Democratic	
lexical_index_5_2	Copy of “lexical_5” variable to create coefplot for mechanism study	0: Non-democratic 1: Democratic	
lexical_index_5_3	Copy of “lexical_5” variable to create coefplot for mechanism study	0: Non-democratic 1: Democratic	
lexical_index_5_4	Copy of “lexical_5” variable to create coefplot for mechanism study	0: Non-democratic 1: Democratic	
lexical_index_5_5	Copy of “lexical_5” variable to create coefplot for mechanism study	0: Non-democratic 1: Democratic	
lexical_index_5_6	Copy of “lexical_5” variable to create coefplot for mechanism study	0: Non-democratic 1: Democratic	
lexical_index_5_7	Copy of “lexical_5” variable to create coefplot for mechanism study	0: Non-democratic 1: Democratic	
lexical_index_5_8	Copy of “lexical_5” variable to create coefplot for mechanism study	0: Non-democratic 1: Democratic	
lexical_index_5_9	Copy of “lexical_5” variable to create coefplot for mechanism study	0: Non-democratic 1: Democratic	
lexical_index_5_10	Copy of “lexical_5” variable to create coefplot for mechanism study	0: Non-democratic 1: Democratic	
lexical_index_5_11	Copy of “lexical_5” variable to create coefplot for mechanism study	0: Non-democratic 1: Democratic	
pre_demo_ineq_best_gini_disp	Predemocracy ethnic inequality calculated from “gini_disp” and “lexical_index_5” variables		
sample_x	Binary variable defining sample for analysis of	0: Not sample 1: Sample	

	ethnic vs. non-ethnic inequality		
sample_y	Binary variable defining sample for analysis of ethnic vs. non-ethnic inequality	0: Not sample 1: Sample	
sample_z	Binary variable defining sample for analysis of ethnic vs. non-ethnic inequality	0: Not sample 1: Sample	
y	For analysis with CSDID package: Democratic country years (based on "lexical_index_5"		
miny	For analysis with CSDID package: First year of democratization (based on "y")		
treat	For analysis with CSDID package: Treatment - first year of democratization (based on "miny")		
always	For analysis with CSDID package: Countries always democratic (based on "lexical_index_5")		
treat_SEI_1	For analysis with CSDID package: Treatment variable for sample of previously unequal countries (SEI)		
treat_SEI_2	For analysis with CSDID package: Treatment variable for sample of previously equal countries (SEI)		
treat_ggini_1	For analysis with CSDID package: Treatment variable for sample of previously unequal countries (ggini)		
treat_ggini_2	For analysis with CSDID package: Treatment variable for sample of previously equal countries (ggini)		

Table 2: "Group-level dataset - Bormann et al. 2021.dta".

Variable name	**Variable definition**	**Values and labels**	**Source**

countries_gwid	Country identifier		(Bormann et al. 2021)
gwgroupid	Group identifier		(Bormann et al. 2021)
groupname	Name of group		(Bormann et al. 2021)
countryname	Name of country		(Bormann et al. 2021)
year			(Bormann et al. 2021)
groupsize	Ethnic group size as share of population		(Bormann et al. 2021)
groupsize_aggregated	Country-level total of ethnic group sizes with non-missing income data		(Bormann et al. 2021)
groupsize_adjusted	Ethnic group size as share of population, but only including groups with non-missing income data		(Bormann et al. 2021)
nlpc_corr	Group income		(Bormann et al. 2021)
groupsize_income	"groupsize_adjusted" multiplied with group income		(Bormann et al. 2021)
cntry_mean_income	Mean income of country (based on total of "groupsize income")		(Bormann et al. 2021)
distance_contry_mean	Group income distance to country mean		(Bormann et al. 2021)
distance_cntry_mean_pct	Group income distance to country mean in percent		(Bormann et al. 2021)
disadvantaged	Group income category variable	0: Advantaged 1: Disadvantaged	(Bormann et al. 2021)
incidence_flag	ethnic group's conflict incidence	0: No conflict 1: Conflict	(Bormann et al. 2021)
resource_rents	Resource rents		(Bormann et al. 2021)

Table 3: "Group-level dataset - AMAR.dta".

Variable name	**Variable definition**	**Values and labels**	**Source**
NUMCODE	Ethnic group case identifier (country code + group id)		Birnir et al. (2017)
AMAR_Group	Name of ethnic group		Birnir et al. (2017)
year			Birnir et al. (2017)
ECDIS	Economic discrimination index		Birnir et al. (2017)
POLDIS	Political discrimination index		Birnir et al. (2017)

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